

**Time:** 5 minutes**Outcome:** Analyze Comparative Advantage and Gains from Trade.**Difficulty:** ●○○ Beginner

Comparative Advantage and Gains from Trade



THE CORE IDEA

Comparative advantage belongs to the producer with the lower opportunity cost, even when another producer has an absolute advantage in both goods. Compute the forgone alternative per unit, then select the lower opportunity cost. Specialization creates potential output gains; the trading terms determine whether both sides gain. Use opportunity cost and net benefits to evaluate specialization and exchange. Different opportunity costs create room for specialization and mutually beneficial exchange.



HOW TO RECOGNIZE IT

- Use opportunity cost and net benefits to evaluate specialization and exchange.
- Different opportunity costs create room for specialization and mutually beneficial exchange.
- One lamp costs Ari 2 rugs and costs Bea 6 rugs.
- One producer is more productive in both goods.
- Two firms specialize and create 40 extra units of combined output.



WATCH OUT

A common mistake is to choose the producer with the greatest absolute output. Comparative advantage depends on lower opportunity cost, and a mutually beneficial terms-of-trade ratio lies between the two opportunity costs.



WORKED EXAMPLE: FINDING COMPARATIVE ADVANTAGE

Ari can produce either 12 lamps or 24 rugs, so one lamp costs Ari $24/12 = 2$ rugs. Bea can produce either 10 lamps or 60 rugs, so one lamp costs Bea $60/10 = 6$ rugs. Ari has comparative advantage in lamps because 2 rugs is the lower opportunity cost; Bea has comparative advantage in rugs because one rug costs Bea $10/60 = 1/6$ lamp, below Ari's $12/24 = 1/2$ lamp. Specialization according to those lower opportunity costs can increase combined output.



CHECK YOURSELF

If 1 X costs 2 Y, what is the cost of 1 Y?

**READY?**

Return to the game and master this concept.